

Centre of Full Employment and Equity

Modern Monetary Theory activism

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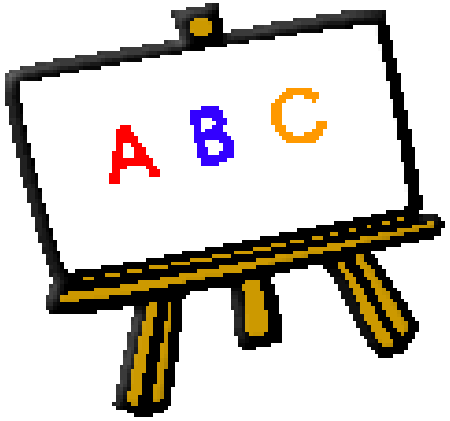
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Issues …

- Core knowledge.
- Anticipating issues.
- Tools for responses.
- Framing and Language.

So what do you know?

- A little starting quiz.



Question 1

- Just like a household, the government has to finance its spending.

- True or False

Question 1 FALSE

- Just like a household, the government has to finance its spending.

Primer:

- Unlike a household, the government is the issuer of its own currency.
- As such it has to spend before it can collect revenue.
- Government spending is constrained only by what is offered for sale in exchange for that currency.
- All other constraints are self imposed.

Question 2

- The role of taxes is to provide finance for government spending.

- True or False

Question 2 FALSE

- The role of taxes is to provide finance for government spending.

Primer:

- Taxes essentially function to create sellers of real goods and services that can subsequently be purchased by the government.
- Units of the currency per se have no value for the government as it issues them at will.
- What the government is trying to accomplish with the monetary arrangements is the transfer of real goods and services from private to public domain.

Question 3

- The UK Government borrows money from the private sector to finance the fiscal deficit which allows them to avoid the inflationary effects of ‘printing money’.

- True or False

Question 3 FALSE

- The UK Government borrows money from the private sector to finance the fiscal deficit which allows them to avoid the inflationary effects of ‘printing money’.

Primer:

- The Government does not need to borrow in order to run a fiscal deficit.
- Fiat currency typically does not enter the economy via “printing money”.
- How does money enter the economy?

Question 3 FALSE (continued)

- All commercial banks keep accounts with the central bank to facilitate the cheque clearing system.
- When government spending exceeds receipts this shows up as increases in these reserve accounts.
- When the government makes payments to the private sector, it does so either by crediting member bank accounts at the central bank directly, or by issuing cheques, which increase member bank accounts at the central bank when the cheques clear.
- The balances in these bank accounts are counted as money and this is how fiat currency is added to the non-govt sector.

Question 3 FALSE (continued)

- Government securities (including bills, notes, and bonds) are also accounted for at the central.
- The purchase of a government security is followed by debiting of a member bank's clearing account and crediting of an account meeting the description of the Treasury security purchased.
- The private purchaser just shifts assets from a clearing balance to another financial asset (government security).
- Typically, government bonds are not included in the definition of money and so the sale of bonds by the government reduces the quantity of money (liquidity).

Question 4

- By running fiscal surpluses the government can retire debt, which takes pressure of interest rates because more funds are now available for private sector investment projects.

- True or False

Question 4 - False

- By running fiscal surpluses the government can retire debt, which takes pressure of interest rates because more funds are now available for private sector investment projects.

Primer:

- The Government can retire debt at any time it chooses independent of the state of its fiscal position.
- Fiscal deficits actually put downward pressure on interest rates – liquidity management and system surpluses.

Question 5

- Running fiscal surpluses now will help build up the funds necessary to cope with the demands that the ageing population will place on health and personal care services in the coming years.

- True or False.

Question 5 - False

- Running fiscal surpluses now will help build up the funds necessary to cope with the demands that the ageing population will place on health and personal care services in the coming years.

Primer:

- The ability of the government to provide services in the future is in no way influenced by the current (or past) budget outcome(s).
- When the government runs a surplus it destroys money. There is no ‘war chest’ full of funds waiting to be spent.
- The issue of how much to spend is always a political decision.
- The only constraints on government spending are the available real goods and services that can be exchanged for currency.

Role play currency issuance

- I begin with a new currency.
- The Bill.
- All transactions are digital.
- First year – I announce a tax of 100 Bills.

Month one parameters …

- Taxes = 600
- Spending = 600

- Fiscal balance ?
- National debt ?
- Non-government saving ?
- Total non-government financial assets ?
- Cash holdings ?
- Bonds ?

Where do the Bills come from?

- All our currency transactions are done via the network.
- Bills are created (for spending) and destroyed (as taxes are collected) with the stroke of a key in a spreadsheet cell.

Government	Month 1 No Saving
Spending	600
Wages	600
Interest	0
Taxes	600
Fiscal Balance	0
National Debt	0
Non-government	
Income	100
Wages	600
Interest	0
Taxes	600
Non-govt saving	0
Total Assets	0
Bills (Cash)	0
Bonds	0

Principles learned in month one …

- Until there is spending there is no capacity to pay taxes.
- Taxes function to create the demand for government expenditures of fiat money, not to raise revenue *per se*.
- In fact, a tax will create a demand for at LEAST that amount of government spending.
- A balanced fiscal position is, from inception, the MINIMUM that can be spent, without a continuous deflation.
- If the fiscal position is balanced there can be no net saving or net accumulation of financial assets.

Introducing saving …

- So their desire for thrift will force me to run a deficit as a matter of course.
- Public deficits allow the private sector to net save in the fiat currency and accumulate financial assets.
- In this case the saving is in the form of non-interest earning business cards.

Month two parameters …

- Taxes = 600
- Spending = 800

- Fiscal balance ?
- National debt ?
- Non-government saving ?
- Total non-government financial assets ?
- Cash holdings ?
- Bonds ?

Government	Month 1 No Saving	Month 2 No Bonds
Spending	600	800
Wages	600	800
Interest	0	0
Taxes	600	600
Fiscal Balance	0	-200
National Debt	0	0
Non-government		
Income	600	800
Wages	600	800
Interest	0	0
Taxes	600	600
Non-govt saving	0	200
Total Assets	0	200
Bills (Cash)	0	200
Bonds	0	0

A debt instrument is created

- As it stands, the savings last month of 200 cards will just sit there and not earn anything (no interest).
- They are holdings of “money” that will allow the non-government sector to not work sometime in the future but they are not accumulating.
- There is excess liquidity (spare Bills) in the overall system and the rate of return is zero (zero interest rate).
- Suppose I now offer to pay overnight interest (10 per cent) on the outstanding Bills (payable in more Bills)?

National debt rises …

- The Bills not needed overnight for transactions would probably be deposited with the government.
- Why?
- To swap the non-interest earning Bills for an interest-earning bond.
- So the government is borrowing back some of the Bills it spent into existence previously and providing a financial asset (bond) in return.
- These deposits are the national debt that the government owes.

Month three parameters …

- Taxes = 600
- Spending = 800
- Bond issuance = 200

- Fiscal balance ?
- National debt ?
- Non-government saving ?
- Total non-government financial assets ?
- Cash holdings ?
- Bonds ?

Government	Month 1 No Saving	Month 2 No Bonds	Month 3 Bonds
Spending	600	800	800
Wages	600	800	800
Interest	0	0	0
Taxes	600	600	600
Fiscal Balance	0	-200	-200
National Debt	0	0	400
Non-government			
Income	600	800	800
Wages	600	800	800
Interest	0	0	0
Taxes	600	600	600
Non-govt saving	0	200	200
Total Assets	0	200	400
Bills (Cash)	0	200	0
Bonds	0	0	400

Accumulated private financial assets

- The accumulated public deficits equal the accumulated private savings.
- This in turn equals the accumulated stock of financial assets (which can be split between cards and bonds).
- Without the issuance of the bonds the rate of interest would be zero.
- Bonds are issued by the government to ensure that the monetary policy can achieve a positive interest rate target.
- They have nothing to do with financing spending.

Austerity mindset adopted …



Month four parameters …

- Taxes = 600
- Wages = 500
- Interest payments = 40

- Fiscal balance ?
- National debt ?
- Non-government saving ?
- Total non-government financial assets ?
- Cash holdings ?
- Bonds ?

	Month 1	Month 2	Month 3	Month 4
Government	No Saving	No Bonds	Bonds	Neo-Libs!
Spending	600	800	800	540
Wages	600	800	800	500
Interest	0	0	0	40
Taxes	600	600	600	600
Fiscal Balance	0	-200	-200	60
National Debt	0	0	400	340
Non-government				
Income	600	800	800	540
Wages	600	800	800	500
Interest	0	0	0	40
Taxes	600	600	600	600
Non-govt saving	0	200	200	-60
Total Assets	0	200	400	340
Bills (Cash)	0	200	0	0
Bonds	0	0	400	340

Fiscal surpluses destroy non-government wealth

- The first problem is that the non-government sector is squeezed for liquidity if the government is spending less than they are taxing.
- Where does the private sector get the funds to pay the taxes?
- By running down wealth through negative saving.
- Fiscal surpluses destroy private wealth.

Month five parameters …

- Taxes = 600
- Wages = 405
- Interest payments = ?

- Fiscal balance ?
- National debt ?
- Non-government saving ?
- Total non-government financial assets ?
- Cash holdings ?
- Bonds ?

	Month 1	Month 2	Month 3	Month 4	Month 5
Government	No Saving	No Bonds	Bonds	Neo-Libs!	Wealth ↓
Spending	600	800	800	540	439
Wages	600	800	800	500	405
Interest	0	0	0	40	34
Taxes	600	600	600	600	600
Fiscal Balance	0	-200	-200	60	161
National Debt	0	0	400	340	179
Non-government					
Income	600	800	800	540	439
Wages	600	800	800	500	405
Interest	0	0	0	40	34
Taxes	600	600	600	600	600
Non-govt saving	0	200	200	-60	-161
Total Assets	0	200	400	340	179
Bills (Cash)	0	200	0	0	0
Bonds	0	0	400	340	179

The two faces of the same coin …

- Continuation of the trend.
- From the neo-liberal perspective the government is acting in an exemplary fashion.
  - Generating surpluses;
  - Retiring debt.
- But the non-government sector's wealth is being destroyed and they are unable to work as much as they want.
- Those without wealth also face rising debts.

Government	Month 1 No Saving	Month 2 No Bonds	Month 3 Bonds	Month 4 Neo-Libs!	Month 5 Wealth ↓	Month 6 Insolvency
Spending	600	800	800	540	439	417.9
Wages	600	800	800	500	405	400
Interest	0	0	0	40	34	17.9
Taxes	600	600	600	600	600	600
Fiscal Balance	0	-200	-200	60	161	182.1
National Debt	0	0	400	340	179	0
Non-government						
Income	600	800	800	540	439	417.9
Wages	600	800	800	500	405	400
Interest	0	0	0	40	34	17.9
Taxes	600	600	600	600	600	600
Non-govt saving	0	200	200	-60	-161	-182.1
Total Assets	0	200	400	340	179	-3.1
Bills (Cash)	0	200	0	0	0	-3.1
Bonds	0	0	400	340	179	0

Non-government sector insolvency

- Now the non-government sector can no longer run down their wealth.
- For a time they may have been able to survive by savers lending to others to maintain their spending.
- But eventually, they will have to save and this means they will spend less.
- With the government sucking out money from the economy each month, the increased desire to save from the non-government sector will cause recession.

Framing and language …

Truth sandwich - Lakoff

1. Start with the truth (if you lead with the lie, you privilege it)
2. Note attempt to divert truth (note, rather than amplify, the lie)
3. Return to the truth the lie is designed to hide (don't allow the distraction/diversion to work)

Establishing progressive purpose …

- Never start with facts.
- Starting point - social purpose and aspirations.
- What do we want our economy to do for us?
- Social purpose of government policy should be articulated and narrated in ways which resonate with and activate frames in our brains that constrain the way we interpret information.
- Articulation of facts (operational reality) come after that.

Establishing purpose …

- Examples of broad purpose:
  - Zero waste of New Zealanders.
  - Our Youth, Our Future.
- Broad goals cannot be motherhood statements – they must be associated with concrete actions.
- Need to invoke Event-Causation structures (link to metaphors).
- For example:
  - Jobs for all! – desirable and everyone would agree.
  - Thus - free markets will grow the economy and create jobs.

Establishing purpose …

- Progressives have to add the appropriate action –
- We want jobs for all – but that means “aggregate spending has to rise by x per cent to generate y million jobs”.
- Who is responsible for that? How does that happen?
- Event (jobs for all) – Causation structure (government deficits).
- So Purpose – Event – Causation – Action – statements.
- Progressive narratives tend to get lost in “value” statements.

Progressive language and metaphor …

- **Purposes are Destinations** – we intrinsically want to achieve purposes - succeed when we reach a destination.
- So we must define destination – as people rather than an independent economy or a financial ratio.
- **Purposes are Desired Objects**:
  - Pointless to get locked into debates about financial ratios etc. These just reinforce frames about sacrifice, rectitude etc.
  - Always point to desired objects that relate directly to intrinsic frames.

Language

- Government spent x million dollars – gone, waste etc
- Alternatively:

  Government invested x million dollars to enhance our purposes
- The **More is Up** metaphor is invoked here:
  - "invest" – building up (invest) rather than using up (spend).
- Government budget deficit is x per cent of GDP
  - **More is Up** works in reverse – deficit = bad.
  - Term "budget" triggers household metaphor.

Linking language and metaphor

- Can exploit the **More is Up** metaphor using an appropriate **Event-Structure** metaphor which links **More is Up** with **Purposes are Destinations**.
- Destination must be prominent.
- So:

  The government deficit rose and generated higher levels of wealth for households and firms.

- This reinforces the concept of forced movement which is a way we understand metaphorical statements – nothing would have happened unless!

Linking language and metaphor

- **Causes are Forces** and **Causation is Forced**.
- So we want to disabuse the “natural” event-causation.
- Government action forces movement towards desired destination.
- Without that force there is no movement and no goal achievement.

Metaphors and language reinforce ideological attack on government

Focus of attack	Metaphorical claim	Implied meaning
Government spending	The nation is living beyond its means	Excess spending requires sacrifice Cuts needed immediately
	Nation has maxed out its credit card	Run out of money due to irresponsible spending
	Spending like a drunken sailor	Wanton irresponsibility and delinquent behaviour
Fiscal balance	Budget black hole	Budget beyond human control like the collapse of massive star
	Deteriorating state of the budget	Budget is like a body and is in state of ill health requiring emergency surgery, TINA
	Mushrooming budget deficit	Budget is an organic entity that has grown out of control
	The nation has run out of money, it is broke	Government budget is like a household budget; the economy is like us
Public debt	The nation is bankrupt	Nation is a badly managed insolvent firm
	The public debt mountain	Debt is dangerous and insurmountable
	Burdening our grandchildren	Debt threatens fundamental unit of society (the family) and undermines future prosperity
	Mortgaging the future	Current government debt compromises future spending
Income support	Welfare dependency	Welfare net is like a drug for the populace, encouraging ill health and addiction
	Dole bludgers, Skivers	Unemployed people are lazy and undeserving

Focus of attention	Metaphorical claim	Implied meaning
Government spending	Government spending puts money in our pockets.	Government spending increases non-government's income.
	Government invests in the productive capacity of our nation.	Government spending increases our capacity to provide for the needs of our population.
	Government cannot run out of money; the true constraint is our nations' resources.	There is no financial constraint although there could be a resource constraint.
Fiscal balance	Government deficits allow us to save.	Government deficits equal non-government surpluses.
	Government surpluses equal non-governmental deficits.	Government surpluses reduce non-government financial saving.
	The fiscal balance is largely determined by the economy's performance.	Fiscal balance outcome is not discretionary.
	The nation cannot run out of its own money.	Government 'budget' is NOT like a household budget.
Public debt	The government's debt is our asset.	Government debt provides a risk-free financial asset to strengthen non-government portfolios.
		Government debt helps to stabilise the financial system.
Income support	We take care of our own.	As our government faces no financial constraints, it uses its fiscal capacity to ensure resources are mobilised to care for its population.
	A good nation supports its people.	Unemployment is always evidence of a policy failure, a failure to put resources to work.
	A good nation helps to support those in other nations who need help.	Rich nations help to mobilise resources needed by poorer nations.

Use of Twitter

- Not suitable for debating or point scoring.
- ‘Compassion fatigue’ - torrent of facts, tragedies etc
- Very suitable for leading a reader to a preferred destination – a Report or Article.
- Framing the Tweet carefully conditions the way the person approaches the destination once reached.
- For example …

Use of Twitter

- “Local community faces 10 per cent unemployment, parents cannot feed their children. Tories to blame.”

Compared to:

- “Economy needs more jobs to bolster incomes and sales. Government stimulus created x million jobs during the GFC. see this article (link).”

Use of Twitter

- Structural versus individual frames.

- When poverty is framed structurally, people assign responsibility to society at large; when framed episodically, focusing on the circumstances of a specific poor person, people assign responsibility to the individual.

End of Talk